

Introduction to GST on land transactions [¶32-500]

[¶32-500]

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Although virtually every commercial transaction involving real property will involve consideration of GST implications, there are some exceptions to this rule, eg exempt supplies, such as the supply of residential accommodation ([¶32-052](#)).

Time of supply

Determination of the “time of supply” establishes the taxable period in which the supplier must account for GST to IR. The time of supply also fixes the point at which the purchaser can claim an input tax credit for GST charged ([¶32-078](#)). The time of supply in relation to the sale and purchase of land is discussed below at [¶32-510](#) and [¶32-520](#).

Long-term settlements

Special rules apply to payments-based taxpayers involved in long-term settlements where the consideration exceeds \$225,000. A vendor involved in such a settlement must account for GST on an invoice basis rather than a payments basis (although an exception applies for non-profit bodies — see below). This approach is required if the agreement is *not* a “short term agreement for the sale and purchase of property or services”. To be a short-term agreement, the general rule is that settlement must take place, or services must be performed, within 365 days of the date on which the agreement is entered into (s [19D](#)).

Section [19D\(2B\)](#) excludes supplies made by a non-profit body from the application of s [19D\(1\)](#) if the non-profit body determines on the basis of reasonable information that, at the time of supply, the recipient:

- # is not GST registered, and
- # is either not intending to use the goods and services for the purposes of carrying on a taxable activity, or intending to use the goods and services for the purposes of carrying on a taxable activity only after the full payment for the supply is paid to the supplier.

(If the recipient is intending to use the goods or services in a taxable activity, the non-profit body can still account for GST on a payments basis provided that the recipient only intends to use the goods in a taxable activity once payment has been made.)

Land compulsorily acquired

QWBA, [QB 13/03](#): “Goods and services tax — whether a compulsory acquisition of land is a ‘supply by way of sale’” answers the question whether:

- # a compulsory acquisition of land under the Public Works Act 1981 (PWA 1981) is a “supply” for GST purposes, and
- # if so, whether it is a “supply by way of sale” such that the recipient is entitled to a secondhand goods input tax deduction under ss [3A\(2\)](#) and [20\(3\)](#) where the supplier is not registered.

IR concludes:

- # A compulsory acquisition of land under the PWA 1981 is a “supply” for GST purposes from the land owner to the Crown or local authority. Where such a supply is made by a registered person, it will generally be zero-rated under s [11\(1\)\(mb\)](#).
- # Land compulsorily acquired from a non-registered person under the PWA 1981 will be a “supply by way of sale” for ss [3A\(2\)](#) and [20\(3\)](#). The recipient (the Crown or local authority) will be entitled to an

input tax deduction for the amount paid for the acquisition of that land (provided the other requirements of ss [3A\(2\)](#) and [20\(3\)](#) are met).

IR notes that while the QWBA analyses compulsory acquisitions under the PWA 1981, the above answer also applies to compulsory acquisitions of land under the Canterbury Earthquake Recovery Act 2011.

IR released QWBA, QB 16/02, “GST — What is the correct rate of GST to charge on legal services provided to New Zealand resident owners of land being compulsorily acquired?” aimed at clearing up the confusion over the correct rate of GST to be charged on legal services provided to owners of land that is being compulsorily acquired. The item concludes that when the legal services are supplied by a GST-registered person, GST will be charged under s [8\(1\)](#) at the standard rate of 15%. Because the supply made by the legal professional wholly consists of legal advice or other related services (and does not wholly or partly consist of land), s [11\(1\)\(mb\)](#) is not relevant and the supply is not zero-rated. The same conclusion will apply to the supply of other services, such as valuation or surveying services, in these circumstances. The same conclusion will also apply to legal fees paid in respect of compulsory acquisitions of land from New Zealand-resident owners under the Canterbury Earthquake Authority Act 2011 and the Greater Christchurch Regeneration Act 2016.

Law: GST ss [2\(1\)](#) (“land”), [9\(1\)](#), [19D](#)

Last reviewed on 31 December 2025

Compulsory zero-rating of land transactions (CZR rules) [¶32-505]

[¶32-505]

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Transactions between GST-registered parties involving land or in which land is a component must be zero-rated. The stated aim of these compulsory zero-rating of land (CZR) rules is to prevent “phoenix” fraud schemes that involve IR refunding GST to the purchaser with no corresponding payment being made by the vendor because the supplying company deliberately winds up before making payment. The zero-rating rule applies where the purchaser intends to use the land to make taxable supplies (s [11\(1\)\(mb\)](#)).

In 2023, the following amendments were made to further address the risk of phoenix fraud and also to reduce compliance costs for registered persons:

- # Supplies that wholly or partly consist of an interest in land (like the grant of a commercial lease) are allowed to be zero-rated as long they meet the requirements of s [11\(1\)\(mb\)](#).
- # Period payments made under an agreement for periodic supply of an interest in land (like a commercial lease) will be standard rated if a lump sum payment of more than 25% of the total consideration under the agreement is made.
- # Discovery that a supply, either wholly or partly, of land has been incorrectly zero-rated, will result in the recipient of the land having to account for output tax on the transaction.

Section [11\(8B\)](#) clarifies that whether the supply of the land is to be zero-rated will depend on whether the relevant tests are met at the time of settlement of the transaction.

Section [11\(8D\)\(a\)](#) ensures that assignments, grants or surrender of leases can be zero-rated if the rules are met.

Section [11\(8D\)\(ab\)](#) ensures that the surrender of a right to a payment under an agreement is a supply of land that may be zero-rated. Thus, the landlord's surrender of their contractual right to payment is a supply of land and ensures a supply from landlord to tenant, as part of a lease surrender arrangement, is able to be zero-rated if the rules are met.

However, under s [11\(8D\)\(b\)](#), a supply that is wholly or partly of an interest in land will only be zero-rated under s [11\(1\)\(mb\)](#) to the extent that:

- # the supply is made under an agreement providing for periodic payments of at least one year, and
- # there is a lump sum payment, that is not a regular rent payment, of more than 25% of the total consideration under the lease.

This rule requires standard-rating of regular periodic payments made following an irregular lump sum payment of more than 25% of the total consideration specified in the lease agreement. The value of the lump sum payment is based on the combined value of irregular payments made. This is to ensure that lump sum payments cannot be split up to avoid the application of zero-rating treatment.

Section [11\(8D\)\(c\)](#) ensures that a supply of an interest in land by way of a procurement by a third party of an existing lease (such as in a business sale) is subject to the CZR rules.

An amendment in March 2017 clarified that the CZR rules apply to arrangements when a lease is novated and where, by agreement of all parties, an existing lease between landlord and tenant is replaced with a new lease between the landlord and a new tenant and the incoming tenant provides consideration to the outgoing tenant. The amendment applies retrospectively from the date the original section applied, namely 30 June 2014, unless a taxpayer has taken an inconsistent tax position for a supply in a return before 30 March 2017.

Amendments made in March 2021 ensured that all assignments or surrenders of a lease agreement for land that meet the criteria in s [11\(1\)\(mb\)](#) are zero-rated. The amendments also clarified that, in the context of business sales involving a zero-rated supply relating to land leases, any business assets that are transferred as part of the same supply or arrangement should also be zero-rated. In addition, the amendments provided

that compulsory zero-rating applies when a lease is cancelled by the lessor and the previous lessee arranges a new lease for a new lessee.

QWBA, [QB 21/08](#), “GST – How do the compulsory zero-rating of land rules apply to transactions involving commercial leases?” considers the type of supplies made under or in relation to commercial leases that are subject to the CZR rules (before the 1 April 2023 law change). The item includes a number of examples covering various factual scenarios.

The CZR rules do not apply to a supply of land intended to be used as a principal place of residence of the purchaser or their relative (s [11\(1\)\(mb\)\(ii\)](#)). This is to ensure that GST-registered sole traders cannot zero-rate the purchase of their family home. Note that in circumstances where a principal place of residence forms part of a larger supply of land, the supply of the residence will be deemed to be a separate supply from the supply of the other land (s [5\(15\)](#) and [132-555](#)).

The definition of “land” in s [2\(1\)](#) includes an estate or interest in land, a right that gives rise to an interest in land, an option to acquire land or an interest in land, or shares in flat-owning or office-owning companies. The definition does not include mortgages or the lease of a dwelling.

Do certain supplies wholly or partly consist of land?

QWBA, [QB 20/04](#), “Do certain supplies wholly or partly consist of land for the compulsory zero-rating (CZR) rules?” considers several different supplies and concludes that the following supplies consist wholly or partly of land for the CZR rules:

- # the grant of an easement, and
- # the sale by way of assignment of a purchaser’s interest in a sale and purchase agreement for land where that agreement gives rise to an equitable interest in land.

However, the item also concludes that the following supplies do not wholly or partly consist of land for the CZR rules:

- # the sale of transferable development rights (which are rights created by various district councils throughout New Zealand), and
- # the sale by way of assignment of a purchaser’s interest in a sale and purchase agreement for land where that agreement does not give rise to an equitable interest in land.

If services are provided as part of a transaction involving land, the supply of the services is treated as a supply of goods for the purposes of s [11\(1\)\(mb\)](#) (s [5\(24\)](#)). QWBA, [QB 12/07](#), “Goods and services tax — treatment of transitional services supplied as part of the sale of a business (that includes the supply of land)” discusses whether transitional services provided by the vendor as part of the sale of a business (including the supply of land) will be zero-rated for GST purposes where:

- # the services and the sale of the business form part of the same contractual arrangement, and
- # the services are not provided for a separately identifiable consideration.

Standing timber and other unsevered crops

QWBA [QB 24/05](#), “Do supplies of standing timber and other unsevered crops wholly or partly consist of land for the compulsory zero-rating rules?” provides guidance on when standing timber or unsevered crops will fall within the zero-rated rules. The item supplements [QB 20/04](#) and [IS 17/08](#). In summary, the question is answered depending on whether the purchaser will derive a benefit from further growth of the timber or crops.

If the agreement is for the sale and purchase of *fructus naturales* (natural fruits of the land on which they arise), and at the time the agreement is entered into, it is contemplated that the purchaser will derive benefit from the further growth of the crop sold, then the transaction will be subject to the compulsory zero-rating rules.

The QWBA states that the following do not wholly or partly consist of land, and will not be zero-rated for GST purposes if:

- # the sale and purchase agreement is for an annual crop produced by the labour of the cultivator
- # the agreement is for the sale and purchase of a crop that is produced by the land each year after the initial productive act, and the purchaser does not derive a benefit from further growth of the crop sold. The item expands on this concept and states that a purchaser does not derive a benefit from further growth if, when the contract is made:
 - # the process of growth is complete, or
 - # the crop is removed within a short period of time, or
 - # the crop may have to remain in the ground, but the purchaser has nothing to do with it until the vendor severs and delivers it.

Information obligations: purchaser — s 78F

Section [78F](#) provides that the obligation for providing information on whether zero-rating is applicable will rest solely with the purchaser of the land. The purchaser must provide a written statement to the vendor before settlement regarding the purchaser's GST-registered status and intended use of the land.

When the ultimate recipient is a person nominated by the contractual purchaser to the agreement for sale and purchase (a nominee), it is the nominee's registration status and intentions in relation to the land that must be used to determine the GST treatment of the supply.

The information requirements in s [78F\(2\)](#) are met if either the contractual purchaser or the nominated person provide the required information in relation to the nominated person.

In the case of the agent of an undisclosed principal, the information requirements are met if the agent notifies the supplier as to whether, at the date of settlement, the principal as recipient is, or expects to be, a registered person, is acquiring the goods or services with the intention of using them for making taxable supplies, and does not intend to use the land as a principal place of residence (s [78F\(6\)](#)). The agent must provide their registration number to the supplier at or before the date of settlement. If, however, the agent is unregistered, their tax file number may be provided in place of the registration number (s [78F\(7\)](#)).

If a supply of land is made by a lender in satisfaction of a debt, the purchaser must provide the information required by s [78F](#) to the lender rather than to the borrower, eg the mortgagee under a mortgage sale.

Information obligations: supplier/agent — ss 75(3B)–(3E), 78F

Section [78F\(3\)](#) clarifies that the supplier can rely entirely on the information provided by the purchaser in determining the tax treatment of the supply. There is no obligation for the supplier to verify the information provided by the purchaser. However, where the supplier comes to believe that the information provided is incorrect, the supplier may use the GST treatment they believe to be correct. For example, if a purchaser states that a property will not be used as a principal place of residence but the supplier comes to understand that this is incorrect, the supplier may choose not to zero-rate the transaction.

If a transaction is zero-rated, the supplier is required to maintain sufficient records to enable the following details of the supply to be established:

- # the name, address and registration number of the purchaser
- # a description of the land
- # the consideration for the supply (s [75\(3B\)](#)).

Section [75\(3C\)–\(3E\)](#) provides that if land is supplied to an agent acting for an undisclosed principal, the supplier must maintain the name, address and registration number or tax file number of the agent and the agent must maintain the name, address and registration number of the principal.

Correction of GST treatment before settlement

Before settlement, the parties may become aware that the GST treatment applied to the transaction is not correct. However, because the crystallisation of the GST treatment occurs at the time of settlement, there is no obligation on the parties to change the initial GST treatment. Nevertheless, the parties may voluntarily agree to correct the GST treatment to avoid the consequence of being incorrect.

When a supply that should have been zero-rated is incorrectly standard-rated and the GST has been accounted for to IR, the supplier will be required to use the credit note mechanism in s 25 to deduct the GST paid in respect of the supply. The purchaser will then be required to account for output tax in relation to any amount of input tax that they have incorrectly claimed in respect of the supply.

Generally, the purchaser will not be able to claim a deduction in respect of the supply since if they are registered for GST and intend to use the goods in making taxable supplies (requirements for obtaining a deduction), standard-rating is unlikely to be the correct treatment.

Correction of GST treatment after settlement

When at any time after a transaction is settled it is found that the supply should have been standard-rated rather than zero-rated, s 5(23) treats the purchaser as making a supply of the goods at the standard rate meaning the purchaser is liable for the GST on the supply. The value of the supply will be equal to the amount of the consideration for the original supply (s 10(7B)). Since the supply is treated as being made at the date of settlement, the purchaser may be subject to use of money interest with any applicable penalties calculated from that date.

If the purchaser who is required to account for tax under s 5(23) is not registered for GST, they will be treated as registered from the date of the supply under s 5(23) and must apply to be GST registered (s 51B(4)).

Section 5(23B) clarifies that if it is discovered, after settlement date, that an error has occurred and that s 11(1)(mb) was applied incorrectly, the purchaser must register for GST and return the output tax of 15% on the purchase price. The registration can be cancelled once a GST return including the supply had been provided.

Section 20(4B) denies a deduction to the person who is treated under s 5(23) as a supplier of goods. However, the person may be able to claim a deduction for the supply if they are registered or later become registered for GST and use the relevant goods for making taxable supplies.

Once GST is accounted for, the purchaser may request that the Commissioner cancel their registration under s 51B(5). Providing the request for cancellation of registration is made by the end of the taxable period in which the deemed output tax is returned to IR, or IR agrees that s 5(3) does not apply, then the deemed disposal of goods and services forming part of the assets of the taxable activity that would normally occur on deregistration (under s 5(3)) will not occur in accordance with s 51B(6).

Non-profit bodies

Section 11(8D)(d) provides that, for the purposes of the compulsory zero-rating of land rules, a New Zealand resident GST-registered non-profit body is treated as acquiring the goods (ie the land) with the intention of using them in their taxable activity, except to the extent it is acquiring it for making exempt supplies. This means that the non-profit body is able to provide a s 78F statement, and the supply may be zero-rated. Where the non-profit body is using the goods partially to make exempt supplies, it may be required to account for output tax under s 20(3J) for the amount of GST it would have incurred that it could not have deducted.

Mortgagee sales of land

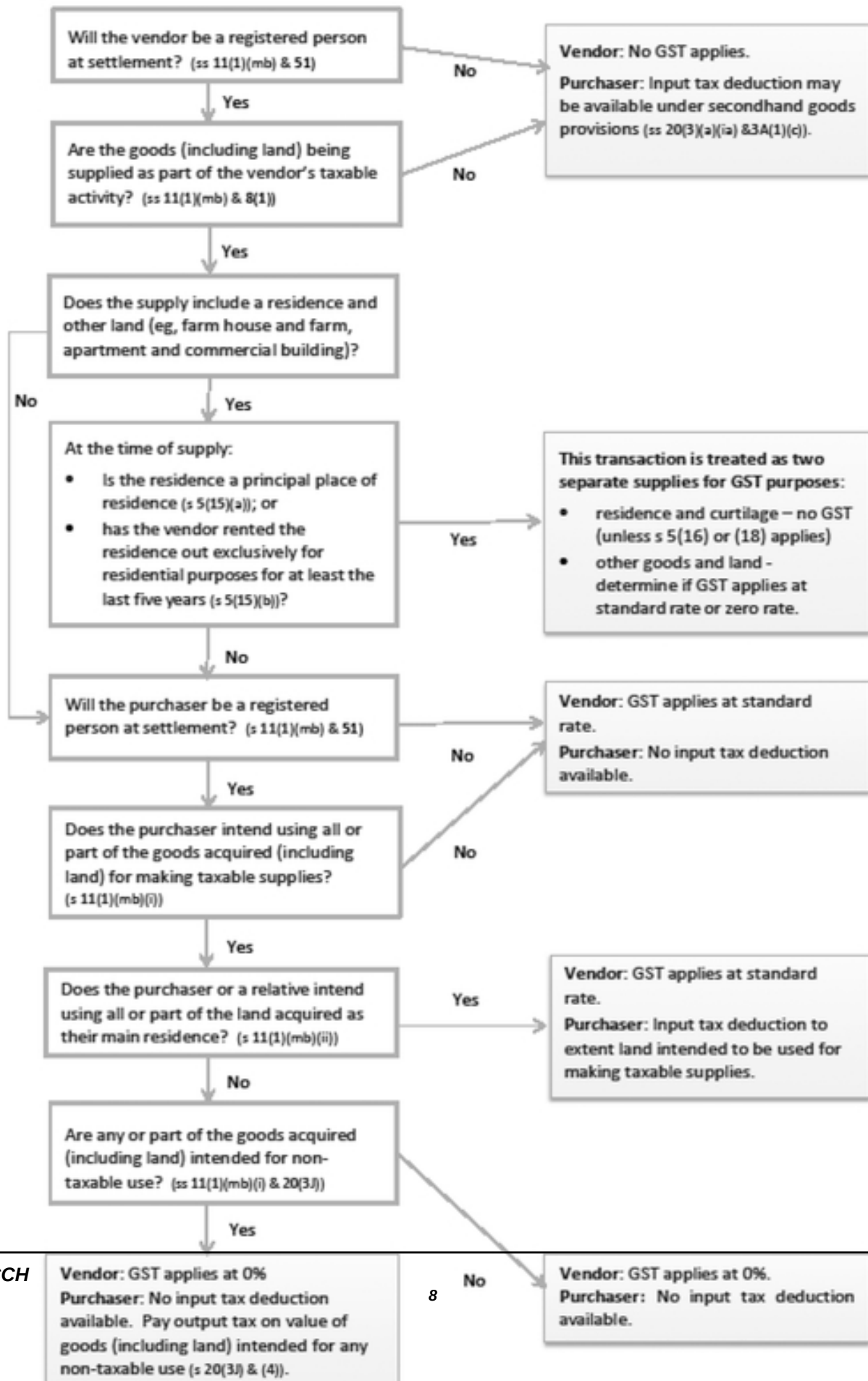
The zero-rating of the supply of land also extends to mortgagee sales. Under the GST Act, mortgagees who hold security over land owned by registered persons are liable to IR for the full amount of GST output tax on mortgagee sales (*Edgewater Motel Ltd v C of IR* (2004) 21 NZTC 18,664 (PC)). By contrast, where the sale is effected by the registered person themselves (even in constrained circumstances and simply to prevent a mortgagee sale), the (often impecunious) vendor remains liable to IR for the GST output tax (*Christchurch Readymix Concrete Ltd v Rob Mitchell Builders Ltd (in liq)* (2003) 21 NZTC 18,033). This different GST treatment created an incentive for mortgagees to facilitate or force a sale by the defaulting borrower in what amounted to a mortgagee sale in all but name, and therefore gave rise to GST avoidance opportunities.

To prevent this loss to the revenue, most mortgagee sales of land (or sales including land) must also be zero-rated. Section 5(22) provides that if the supply by the debtor would be zero-rated under s 11(1)(mb), the creditor must zero-rate the supply in the same way. As with all registered taxpayers selling land, the mortgagee must obtain a written declaration from the purchaser that it is GST registered and intends to use the land as part of a taxable activity. If it is discovered, after settlement date, that an error has occurred and that s 11(1)(mb) was applied incorrectly, then s 5(23B) deems the recipient of those goods must return the output tax of 15% on the purchase price. The registration could be cancelled once a GST return including the supply had been provided. Only where the sale is made to an unregistered consumer or to a registered person for their private or exempt purposes will the mortgagee sale have to be standard-rated. In practice, most mortgagee sales of land subject to GST will be to a registered person for use in a taxable activity. The effect is therefore that mortgagees can no longer rely upon the additional GST from the proceeds of sale to satisfy the loan secured by their mortgage.

Interpretation statement, IS 23/03 “GST –Section 58: Specified agents of incapacitated persons, and mortgagees in possession” discusses how s 58 applies in the case of a mortgagee in possession of land or property of a GST registered mortgagor. Where, and to the extent that, the mortgagee carries on any taxable activity of the mortgagor, the mortgagee may be deemed to be a GST registered person. This status will apply from the date when possession was taken of the land until the time they cease to be in possession of the land. The registered mortgagor is not considered registered for that same period.

Commissioner’s interpretation statement

Interpretation statement, IS 17/08, “GST — compulsory zero-rating of land rules (general application)” provides a general overview of the compulsory zero-rating of land (CZR) rules, including practical examples of how the CZR rules work. The statement’s focus is on helping vendors and purchasers get it right from the start before a land transaction settles. The statement contains the following flowchart for determining if a supply including land is compulsorily zero-rated:



Law: GST ss [5\(2\)](#), [\(15\)](#), [\(22\)–\(24\)](#), [10\(7B\)](#), [11\(1\)\(mb\)](#), [\(8B\)](#), [\(8D\)](#), [20\(4B\)](#), [25](#), [51B\(4\)–\(6\)](#), [75\(3B\)–\(3E\)](#), [78F](#)

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Invoices and real property transactions for GST [¶32-510]

[¶32-510]

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From 1 April 2023, the sections of the GST Act which deal with tax invoices were repealed and replaced with records of supply and supply information ([¶32-151](#)). “Invoice” is still a defined term and means a document notifying an obligation to make payment.

The time of supply for GST purposes can be triggered by the issuing of an invoice (s [9\(1\)](#)). There has always been some question as to whether a sale and purchase agreement itself constitutes an “invoice” for the purposes of s [9\(1\)](#) and therefore can trigger the time of supply. An invoice is defined as “a document notifying an obligation to make payment” (s [2\(1\)](#)). This is different to a “tax invoice”, which is also a defined term in s [2\(1\)](#). The term “[tax invoice](#)” is no longer relevant as the provisions relating to tax invoices have been repealed.

Interpretation statement [IS 07/02](#), “Is an agreement for the sale and purchase of property an ‘invoice’ for GST purposes?” considers that an agreement for the sale and purchase of real estate does not generally constitute an “invoice” for the purposes of the GST Act. The agreement does not notify an “obligation to make payment”; at most it notifies only a contingent obligation to make payment. This is the case regardless of whether the agreement is conditional, becomes unconditional or is unconditional. Accordingly, to satisfy the invoice time of supply rule in s [9\(1\)](#) another document notifying an obligation to make payment must be issued by the supplier or the supplier’s agent.

In [IS 07/02](#) the Commissioner relied on *Shell New Zealand Holding Co Ltd v C of IR* ([1994](#)) [16 NZTC 11,163 \(CA\)](#), in which it was found that an import entry form was an invoice and did trigger the time of supply. The Commissioner decided that:

- # the definition of “invoice” should be given an ordinary meaning
- # an agreement for sale and purchase is a contract, and does not have the characteristics of an invoice, based on the ordinary meaning of the term
- # an agreement for sale and purchase is not a demand or request for payment, and
- # an agreement for sale and purchase does not fulfil the requirements of “notifying” and “issuing”, as those terms would ordinarily mean.

The Commissioner also noted in [IS 07/02](#) that the definition of invoice created a cumulative requirement and the fact that a document may appear to satisfy one of the requirements does not mean it meets the definition’s meaning as a whole.

In Case 10/2014 ([2014](#)) [26 NZTC ¶2-020](#), the taxpayer issued a document headed “GST Tax invoice” on 29 September 2010 in an attempt to trigger the time of supply under a sale and purchase agreement before the GST rate increased on 1 October 2010. The Taxation Review Authority held the document was not an “invoice”, as an obligation to make payment did not arise under the terms of the agreements while they remained conditional on the deposit of the survey plan and issue of individual certificates of title. There was no debt then due to the taxpayer and there were still matters to be completed before any debt became due.

Law: GST ss [2\(1\)](#) (“invoice”), [9\(1\)](#); TAA s [143](#)

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Payment and real property transactions for GST [¶32-520]

[¶32-520]

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The receipt of payment before the issue of an invoice generates a time of supply for the purposes of s 9(1) of the GST Act. For real property transactions, this is when the deposit is applied to the benefit of the vendor.

Interpretation statement [IS 10/03](#), "GST: Time of supply — payments of deposits, including to a stakeholder" provides that, where no invoice has been issued, the receipt of a deposit will generally trigger the time of supply in both conditional and unconditional contracts. However, the time of supply will not be triggered where the deposit for a supply is received by a person as a stakeholder.

Deposit paid under an unconditional contract

A deposit paid under an unconditional contract is generally considered to fall within the wording of "any payment" in s 9(1) and will therefore trigger the GST time of supply.

This position has been stated by the courts on numerous occasions in a GST context (eg in *Rob Mitchell Builder Ltd (in liq) v National Bank of New Zealand Ltd* (2004) 21 NZTC 18,397 (CA) and *Cockburn v CS Development No 2 Ltd* (2011) 25 NZTC ¶20-007 (SC)).

Conditional contracts

IR accepts that a conditional contract per se does not constitute an invoice for GST purposes ([¶32-510](#)).

Deposit paid under a conditional contract

A deposit paid under a conditional contract is usually paid to a third party, such as a real estate agent or the vendor's solicitors, who holds it under the terms of the agreement as a stakeholder. Stakeholder capacity usually continues until the contract goes unconditional.

IR considers that the receipt of a non-refundable deposit under a conditional contract triggers the time of supply. However, this will not be the case where that deposit is paid to a stakeholder and cannot be applied to the supplier's benefit until the happening of a specific event, ie the contract is rendered unconditional with stakeholder capacity being lost (the deposit is deemed to be received by the vendor at this point in time) (*Tax Information Bulletin* ¶226-105 Vol 22, No 6, July 2010 at 12).

In *C of IR v Dormer* (1997) 18 NZTC 13,446 (HC), Salmon J took the view that a deposit will not be received as long as any person holds it as stakeholder, whether that person is the supplier or an independent third party. Naturally, whether this argument can be used will depend on the terms of the contract dictating the capacity in which a person holds the funds. For example, in *Dormer*, it was clear from the contract that the deposit was no longer held by the stakeholder once the contract became unconditional.

In Case 10/2014 (2014) 26 NZTC ¶2-020, deposits were paid to the taxpayer's lawyers as stakeholder under the agreements for sale and purchase of the lots. Each of the agreements was conditional on the issue of a certificate of title and satisfying s 225 of the Resource Management Act 1991. The TRA held that the stakeholder status ended when the agreements became unconditional. The deposits were then payable to the taxpayer and, accordingly, the corresponding right to sue for the deposits also arose at that time. The deposits for the lots were then held by the taxpayer's lawyers as agent for the taxpayer, rather than stakeholder, and the time of supply was triggered.

[IS 10/03](#) confirms the position that the stakeholder can be a third party or the supplier. Where the stakeholder is a third party, the essential requirement for a stakeholder relationship is the existence of an agreement between the parties. In this case, the time of supply will not be triggered until the stakeholder

applies the deposit for the supplier's benefit. Where the supplier is the stakeholder, the time of supply will not be triggered unless the supplier applies the deposit for their benefit.

Long-term agreements

A deposit in relation to a long-term agreement is generally applied to the benefit of the vendor or the vendor's agent on the possession date of the realty. This date will generate the time of supply. However, if the deposit is applied to the benefit of the vendor before possession date, the time of supply will be at the time that the deposit is so applied (Case L67 [\(1989\) 11 NZTC 1,391](#) and Case N24 [\(1991\) 13 NZTC 3,199](#)).

Input tax credit on payment of deposit by payments basis taxpayer

If an invoice basis is used, GST is brought to account for the taxable period in which the supply is deemed to be made. This is the earlier of the time an invoice is issued and the time any payment is made. If an invoice is issued first, the person must account for tax in that taxable period even though the person may not have paid or received the relevant GST amount. If the payments basis is adopted, GST is brought to account when and to the extent that payment is made ([132-078](#)).

Many payments basis purchasers have been of the view that a full input tax credit for the entire consideration of the sale is available as soon as the GST portion of the purchase price is paid. This view was based on a TRA decision that allowed 2 GST payments basis purchasers a full input tax claim for the purchase price of land on the payment of a deposit.

That decision was overturned by the High Court (*C of IR v Nicholls* [\(1997\) 18 NZTC 13,265](#)) and the Court of Appeal confirmed the High Court decision in *Nicholls v C of IR* [\(1999\) 19 NZTC 15,233 \(CA\)](#). The net effect is that a GST input tax credit deduction is calculated only to the extent of the deposit actually paid during the relevant period.

Cancelled contract

In QWBA [QB 25/18](#), "Does GST apply to a deposit the seller retains in a cancelled land sale agreement?" the Commissioner's view in terms of the GST consequences of a cancellation of a contract for the sale and purchase of land is as follows:

- # GST will not apply for the deposit retained by the vendor as there is no supply of land or any other supply in return for the deposit, and
- # if the vendor has already paid GST or the buyer has claimed input tax credit before the agreement is cancelled, a GST adjustment will need to be made to reverse any amounts returned or claimed in the period the agreement is cancelled (s [25](#)).

Also see [QB 14/10](#), "GST — whether a binding contract always establishes a transaction giving rise to a supply for section 9(1) purposes" and Case X12 [\(2005\) 22 NZTC 12,189](#).

Law: GST ss [9\(1\)](#), [25](#)

Last reviewed on 31 December 2025

GST and associated persons' land transactions [¶32-530]

[¶32-530]

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Special time of supply and valuation rules govern transactions between associated persons. In the case of goods that cannot be removed (eg land) a supply between associated persons is deemed to take place at the time when goods are made available to the recipient (s [9\(2\)\(a\)\(ii\)](#)). IR regards goods as being available when all formalities for the sale have been completed.

If s [9\(2\)\(a\)](#) applies, a payments basis vendor is required to account for GST output tax in the period the supply is deemed to occur, irrespective of whether or not payment has been made (s [20\(4\)\(b\)](#)).

The special time of supply rules for associated persons will not apply where an invoice is issued or any payment is made in respect of the supply on or before the last day for filing of the GST return in which that supply would otherwise have been included. If the supply (not including the supply of a fringe benefit) has been made between associated persons and the value of the supply is for no consideration or for a consideration below market value, "the consideration in money for the supply shall be deemed to be the open market value of that supply".

Example:

A taxpayer claimed a GST refund in the period June 1988 based on the purchase of land from an associated person for a price of \$356,000. Government valuation as at 1 July 1988 was \$218,000. IR considered the valuation to be overstated and the consideration was deemed to be the open market value of that supply. The Authority rejected this and held that s [10\(3\)](#) only applied where the consideration was below the open market value and did not apply in the circumstances where the consideration was above the open market value. See Case M110 ([1990](#)) [12 NZTC 2,704](#).

Transactions between associated parties under \$225,000

Based on the time of supply rules set out above, there is potential for the deferral of GST output tax in cases where a GST payments basis vendor sells an asset to an associated GST invoice basis purchaser. This is on the assumption that the associated purchaser accounts for GST on an invoice basis and claims a GST input tax credit at the time of sale (the registered vendor having issued a GST invoice at that time). The GST-registered vendor, on the other hand, is not obliged to return GST on the sale until payment is received (as long as an invoice has been issued within the requisite period for filing a GST return).

The position is different if the value of the transaction exceeds \$225,000 (including GST). An invoice basis approach is then required (s [19D](#) and [¶32-500](#)).

An amendment made to s [3A\(3\)\(a\)](#) allows a secondhand goods input tax credit on supplies between associated persons equal to the tax fraction of the original cost of the good at the time it was first acquired by the first person in the chain of associated persons ([¶32-686](#)).

Law: GST ss [9\(2\)\(a\)](#), [10\(2\)](#), [\(3\)](#)

Last reviewed on 31 December 2025

GST and goods sold to satisfy debt [¶32-540]

[¶32-540]

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Under s [5\(2\)](#), goods sold towards the satisfaction of debts and goods repossessed under a hire purchase agreement are deemed to be supplied in the course of a taxable activity carried on by the debtor. The debtor is deemed to be a registered person. Goods will not be deemed to be supplied in the course of a taxable activity if:

- # the debtor has supplied the person selling the goods (the creditor) with a written statement stating fully the reasons why that supply would not be a taxable supply, or
- # in the absence of a written statement from the debtor, the creditor has determined the status of the supply on the basis of any reasonable information held.

Example:

In a mortgagee sale, the mortgagee would be required to charge GST on the supply unless the mortgagee can obtain the required information. This will often have significant consequences for a mortgagee who will be looking for the best return and will not wish to have to account for 3/23 of the sale price to IR.

Mortgagees who hold security over land owned by registered persons are liable to IR for the full amount of GST output tax on mortgagee sales (*Edgewater Motel Ltd v C of IR* ([2004](#)) [21 NZTC 18,664 \(PC\)](#) and [¶32-505](#)).

However, note that s [5\(22\)](#) provides that if the supply by the debtor would be zero-rated under s [11\(1\)\(mb\)](#), the creditor must zero-rate the supply in the same way ([¶32-505](#)).

Operational statement, [OS 17/01](#), "GST and costs associated with mortgagee sales" sets out the Commissioner's position on GST input tax claims for the costs of sale associated with mortgagee sales. [OS 17/01](#) replaces [OS 15/01](#) with effect from 6 September 2017. The statement concludes:

- # A mortgagee in a mortgagee sale cannot deduct the costs of sale, such as legal fees, valuation fees and real estate advertising and commission, before calculating the GST due under s [17](#).
- # A mortgagee cannot claim input tax for the costs associated with a mortgagee sale.
- # A mortgagee who is a registered person and makes a mortgagee sale that is subject to the business-to-business supply of financial services rules is able to claim input tax for the costs associated with that mortgagee sale.
- # A mortgagor cannot claim input tax for the costs, incurred by the mortgagee, associated with a mortgagee sale.

Note that the Commissioner has changed their view in [OS 17/01](#) with regard to input tax claims for taxpayers under the business-to-business financial services rules from that previously set out in [OS 15/01](#) (which stated those taxpayers were unable to claim input tax).

Law: GST ss [5\(2\)](#), [\(22\)](#), [11\(1\)\(mb\)](#), [17](#)

Last reviewed on 31 December 2025

GST and land as secondhand goods [¶32-550]

[¶32-550]

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The GST Act does not provide any guidance as to whether land can be classified as “secondhand goods”. Some court decisions have suggested that land is not readily classified as secondhand goods. Despite this, IR’s practice is to accept that land can be regarded as secondhand goods for GST purposes.

Records

Where goods are purchased from an unregistered person, taxable supply information may not be available. In these circumstances, a registered person must keep sufficient records to identify the name and address of the supplier, the date on which the goods were acquired, a description of the goods, including the quantity or volume, and the consideration for the supply. The supply must be by way of sale and the goods must be acquired for the principal purpose of making taxable supplies ([¶32-686](#)).

If a supply is zero-rated under s [11\(1\)\(mb\)](#), s [75\(3B\)](#) requires the supplier to maintain sufficient records to enable certain particulars in relation to the supply to be ascertained. Section [75\(3D\)](#) provides that where land is supplied to an agent acting for an undisclosed principal, the supplier must maintain the name, address, and registration number or tax file number, as applicable, of the agent. Similarly, s [75\(3E\)](#) provides that the agent must maintain sufficient records of the undisclosed principal to enable the name, address and, if the principal is registered or expects to be registered, the registration number of the principal, to be ascertained.

Input tax deduction

The input tax deduction in relation to secondhand goods is the amount “to the extent that a payment in respect of that supply has been made during that taxable period”. If land is being acquired from an unregistered person and payments made in instalments, the input tax deduction will be the tax fraction of the amount paid on each instalment. See public binding ruling [BR Pub 07/01](#), “Forestry rights — secondhand goods GST input tax deduction”.

See [¶32-558](#) and [¶32-686](#) for discussion on input tax credit claims for a supply of secondhand goods from an associated person.

Law: GST ss [2\(1\)](#) (“[secondhand goods](#)”), [11\(1\)\(mb\)](#), [20\(3\)](#), [75\(3B\)–\(3E\)](#)

Last reviewed on 31 December 2025

GST and sale of mixed-used property and apportionment of secondhand goods credit [¶32-555]

[¶32-555]

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Note: From 1 April 2024, the mixed-use rules in ss [20\(3JB\)](#) and [20G](#) were repealed and amendments were introduced to allow GST-registered businesses to elect to treat certain assets that have mainly private or exempt use, such as dwellings, as if they only had private or exempt use.

If the supply of a dwelling is part of a larger supply of land (such as the purchase of a farm or office block with dwelling attached), the input tax must be apportioned. This is because s [5\(15\)](#) deems 2 separate supplies to occur on the resale of the property — the first being the dwelling, the second being the balance of the land.

Section [5\(15\)](#) provides that a supply of land that is a principal place of residence or falls within s [14\(1\)\(d\)](#) is separate from the supply of any other real property included in the supply.

Persons who have previously claimed an input tax credit for a dwelling must account for output tax on the dwelling on any subsequent sale. This may create a problem for the purchaser. The difficulty occurs when the sale and purchase agreement states that the price is “plus GST (if any)”. In this case, the vendor is able to recover their output tax liability from the purchaser (ie 15% of the agreed GST-exclusive value for the dwelling and curtilage) but the purchaser will not be able to claim the GST on that part of the purchase.

A vendor who had not claimed an input tax credit or a one-off input tax adjustment before 1 April 2011 in relation to a dwelling will not generally have any output tax liability in relation to that supply. From 1 April 2011, taxpayers are required to apportion the amount of input tax they can claim. See further at [¶32-022](#), [¶32-088](#) and [¶32-089](#).

Apportionment of consideration for mixed-use property

Interpretation statement [IS 20/05](#), “GST — supplies of residences and other real property” sets out the apportionment of consideration between, and the valuation of, supplies of residences and other real property for GST purposes. The Commissioner’s approach is to require the consideration to be apportioned so as to reflect the true value of the residence and the surrounding land.

A person seeking to rely on the apportionment has the onus of proving that the apportionment is fair and reasonable. In doubtful cases, or where significant amounts of consideration are involved, the parties should obtain an independent valuation from a registered valuer.

Where the supplier and recipient are both GST-registered, the same apportionment as described on the tax invoice will apply for both parties. Ideally, this should be negotiated between the parties and agreed to at the time of supply.

[IS 20/05](#) updated and replaced [IS2824](#), “GST — supplies of dwellings and other real property”.

Election to treat supply of land as non-taxable supply

From 1 April 2023, the list of activities which are not a taxable activity has been expanded to include s [\(6\)\(3\)\(e\)](#). This provision allows registered persons to elect to treat the sale of goods, including land, that were not acquired or used for the principal purpose of making taxable supplies as not part of their taxable activity. This means a sale of qualifying goods is not subject to GST as it is not disposed of in the course or furtherance of their taxable activity. For s [6\(3\)\(e\)](#) to apply, the following requirements must be satisfied:

- # no previous input tax deductions were claimed by the registered person for the land/goods under s [20\(3\)](#) before the goods were sold
- # the goods were not acquired for the principal purpose of making taxable supplies

the goods were not used for the principal purpose of making taxable supplies
the goods were not acquired as zero-rated supplies under s [11\(1\)\(m\)](#) or [\(mb\)](#), or if they were acquired as a zero-rated supply, the recipient has made an output tax adjustment for the nominal GST component under s [20\(3J\)\(a\)\(iv\)](#).

Transitional rule for certain goods acquired before 1 April 2023

Further consequential amendments were made to s [5\(15\)](#) as a result of the repeal of the mixed-use rules in ss [20\(3JB\)](#) and [20G](#). GST-registered persons are able to elect to remove their mixed-use assets from the tax base before 1 April 2025 and elect to return the output tax (s [91\(1\)](#)). This applies to goods not acquired or used for the principal purpose of making taxable supplies. See *Tax Information Bulletin* [1356-102 Vol 35 No. 6](#), July 2023 at 60 for a detailed discussion on the changes to the mixed-use rules and the election to take the goods out of the GST tax base.

Law: GST ss [2\(1\)](#) (“dwelling”, “principal place of residence”), [5\(15\)](#), [\(16\)](#), [6\(3\)\(e\)](#), [11\(1\)\(mb\)](#), [20\(3J\)](#), [91](#)

Last reviewed on 31 December 2025

GST and secondhand goods input claims for property transactions between associated persons [¶32-558]

[¶32-558]

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Special rules apply for claiming input tax credits for secondhand goods for property transactions between associated persons. The rules state that the amount of input tax for the supply is limited to the amount accounted for as output tax for all supplies that are part of the relevant transactions. This applies:

- # where a supply consists, in whole or part, of land and is part of an arrangement involving more than 2 associated parties and more than one supply. Here, the amount of input tax cannot exceed the amount of output tax actually accounted for on all supplies that are part of the arrangement (s [3A\(3B\)](#)).
- # where a person registers for GST and claims a change of use input tax credit for assets and other commodities already owned at the time of registration (meeting the requirements of s [21B\(1\)\(a\)\(i\)](#) and (b)) and those assets or other commodities have been acquired from an associated person. The resulting change of use input tax credit here cannot exceed the output tax actually accounted for by the supplier (s [3A\(3C\)](#)).

Law: GST ss [3A\(3B\)](#), [\(3C\)](#), [21B](#)

Last reviewed on 31 December 2025

GST and residential property owners and subdivisions [¶32-570]

[¶32-570]

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The GST implications of minor one-off subdivisions have been largely settled by the Court of Appeal decision of *Newman v C of IR* (1995) 17 NZTC 12,097. The main issue is whether the subdivision activity is carried on continuously and regularly so as to constitute a taxable activity. The courts and IR have made the following statements:

- # A straightforward, low-cost dividing off of one or 2 surplus sections and their subsequent sale would not generate a taxable activity.
- # Subdividing off 4 or more sections involving significant costs comprised a “continuous” and taxable activity even though the original residence was retained for some time thereafter.
- # IR considers that no “continuous” activity results if 3 sections are divided off a person’s home property and are sold, the subdivision involves minimal time and effort, and the person continues to live in the residence. However, a continuous activity might exist if other factors were involved, eg if significant and costly development work was undertaken as part of the subdivision. See discussion later in this paragraph.

In *Newman*, a taxpayer who subdivided a block of residential land into 2 blocks, keeping one and selling the other was initially found to have engaged in a taxable activity (even though it was not a part of the taxpayer’s taxable activity as a builder for which he was GST registered). The Court of Appeal overturned the decision, finding that the limited activity in the case in question did not come within the statutory test of a “taxable activity”. The Court looked at the transaction as a whole, rather than break it down into a series of sequential steps. McKay J observed that it was the one-off nature of the transaction that deprived it of the necessary “continuous activity” requirement. The absence of development work and lack of business aspect to the transaction was also noted as being of particular relevance.

More substantial subdivisions involving significant development work, financial investment and time and effort are likely to amount to taxable activities. For further discussion see [¶32-024](#).

Commissioner’s interpretation of “taxable activity”

QWBA [QB 24/04](#), “When is a subdivision project a “taxable activity” for GST purposes?” sets out the Commissioner’s view of when subdivision activity is carried on “continuously” or “regularly”. It also covers when the sale of subdivided land is a supply made “in the course and furtherance of a taxable activity”. The Commissioner considers the following 2 steps are required to determining whether a subdivision project is continuous or regular:

- # the number of lots created and sold, and
- # the level of activity involved in the subdivision project, relevant factors includes (not an exhaustive list) the scale of the subdivision, level of development work involved, time and effort involved, amount of financial investment, commerciality of the transaction and level of repetition.

Generally, the more lots created and sold, the less activity is needed for a taxable activity to be continuous or regular. A subdivision resulting to only one supply will not be a taxable activity unless the scale of the activity and level of work involved is very high. The QBWA further states that while no specific number of lots created will be determinative of taxable activity, the Commissioner generally considers a subdivision project involving the creation and sale of 4 or more lots will be a taxable activity, unless the level of work involved is very low.

On the other hand, when only one supply is created from a subdivision activity, a very high level of activity is required for the subdivision activity to be continuous or regular, eg the construction and sale of a commercial building is a taxable activity due to the high level of scale and work involved with the activity.

If a taxpayer is already registered for GST, a subdivision activity that might not constitute a taxable activity on its own can still give rise to GST obligations if it was done in the course or furtherance of the taxpayer's existing taxable activity.

[QB 24/04](#) contains a diagram that demonstrates the relevance of the level of activity involved in the project in relation to the number of supplies made (or planned to be made) and various examples that illustrate the approach the Commissioner is taking.

Example: Simple subdivision

A scheme plan that divided property into 5 sections was subject to GST. During the course of his judgment, Barber DCJ observed that although the Court of Appeal in *Newman* had settled that a one-off subdivision creating 2 sections is not subject to GST, the cutting off of more than one section (eg 2) could also come within the *Newman* principles and not amount to a taxable activity. See Case S70 ([1996](#)) 17 NZTC 7,431.

Example: Sequential activity resulting in 4 lots

A husband and wife who subdivided a block of land into 5 sections were found to be carrying on a taxable activity of subdividing and were liable for GST on the resulting sales. There had been a lengthy and uninterrupted period of sequential activity designed to achieve the sale of 4 sections, which amounted to a taxable activity. Citing Case S70 (see above), the Taxation Review Authority reiterated that a single subdivisional activity does not prevent it from being carried on "continuously". Whether an activity is continuous involves questions of fact and degree. See Case T40 ([1997](#)) 18 NZTC 8,267.

Law: GST s [6](#)

Last reviewed on 31 December 2025

Recovery of GST — sale and purchase agreements [¶32-580]

[¶32-580]

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Going concerns

Parties to a transaction who wish the supply to be zero-rated are required to elect that tax treatment in writing. If an agreement does not provide for the sale of a going concern, the vendor must insert a clause stating that the agreement is an agreement for the sale and purchase of an activity as a going concern and that if it is not the supply of a going concern, then GST on the purchase price will be payable by the purchaser. From the vendor's point of view considerable care needs to be taken in agreeing to the transaction being zero-rated since, if the parties are in error, the vendor is liable to account for 3/23 of the consideration for the supply to IR. However, vendors who are assessed by the Commissioner for GST in such circumstances are provided some relief by s 78E. This section allows the vendor to recover the GST amount from the purchaser, where both parties have made a written election to treat the supply as a going concern but no specific provision is made in the contract for the consequences if tax is charged on the supply.

It can be seen that the risks of zero-rating are carried by the vendor. For example, the vendor could be exposed to penalties if the Commissioner does not accept the going concern treatment. There is also the practical issue of recovery from the purchaser (eg in the case of insolvency). See ¶32-035 for further discussion.

Recovery of GST from purchaser

If an agreement is “inclusive of GST”, the vendor is required to account for 3/23 of that price to IR. If an agreement is “exclusive of GST”, it is unclear whether the GST is recoverable from the purchaser if the vendor is then assessed for GST.

Example:

The purchase price of a property was stated in the agreement as being \$138,000 (exclusive of GST if payable). The transaction was subject to GST and the vendors were assessed. The vendors claimed that the GST Act gave them the right to claim the GST component from the purchasers. It was held for the purchaser that the plain meaning of the contract was to exclude GST from the purchase price if it was, or was to become, payable. The price payable by the purchaser did not include GST if that became payable and the GST Act did not give any relief to the vendor to recover GST from the purchaser. See *Edwards and Edwards v Dittmer* (1989) 11 NZTC 6.063.

Example:

A lessor, who was party to an agreement containing an option to purchase that was silent as to GST, was not eligible for relief under the Contractual Mistakes Act 1977 because there was no proof that the lessee had “actual knowledge” of the existence of the lessor's mistaken belief that the price excluded GST.

The Court of Appeal allowed the lessee's appeal against the High Court's decision. Unless an agreement for sale and purchase provides otherwise, the price is inclusive of GST. Relief under the Contractual Mistakes Act was not granted on the basis that “constructive knowledge” was insufficient in terms of s 6(1)(a)(i) of the Act and that the lessee did not have actual knowledge of the mistaken belief held by the lessor. See *Tri-Star Customs and Forwarding Ltd v Denning* (1998) 18 NZTC 13,982 (CA).

The Law Association of New Zealand Incorporated released the 11th edition of the REINZ–ADLS agreement for sale and purchase of real estate on 8 February 2022.

The sale of commercial property is usually expressed to be “plus GST (if any)” and the sale of residential property “inclusive of GST (if any)”.

If neither of the optional clauses in the standard form is deleted, the purchase price is deemed to include GST (if any). This clause formalises the common law principles established by cases such as *Smale v Fletcher Homes Ltd* (1996) 17 NZTC 12,662. Therefore, if no election is made the cost of the GST is effectively borne by the vendor.

Section 78F(7) provides that if an agent does not have a registration number, their tax file number may be provided in its place.

Current market value of property excluded GST

In *Sayes v Tamatekapua* (2012) 25 NZTC ¶20-156 (CA), the deed of settlement did not address whether the value of property, to be transferred under a deed of settlement, was to be valued on a GST-inclusive or GST-exclusive basis. The valuation mechanism was relevant as it would determine ultimate shares in the estate. The High Court found that the current market value was determined on a GST-exclusive basis. This decision was upheld by the Court of Appeal.

The case raises some interesting questions regarding valuation methodology and the impact of the different GST registration status of the parties to the transaction. Simply agreeing to a valuation with nothing more may be insufficient to address the GST component of the price and, in particular, how this must be treated when one party is GST-registered and the other is not.

While the Court of Appeal noted that the terms of the settlement deed could have unforeseen tax advantages and disadvantages, that did not allow the Court to rewrite the terms of the agreement. The Court found that the valuer had acted in accordance with the provisions of the deed and had therefore correctly valued the current market value of the property as excluding GST.

Law: GST ss [11\(1\)\(m\)](#), [78E](#), [78F](#)

Last reviewed on 31 December 2025

GST and local authority rates [¶32-590]

[¶32-590]

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Local authorities are required under s [5\(7\)](#) to charge GST on rates.

Public binding rulings [BR Pub 16/01](#) and [BR Pub 16/02](#) address the situation where a vendor prepays rates beyond the date of settlement and the settlement statement apportions the rates between vendor and purchaser. Similarly, public binding rulings [BR Pub 16/03](#) and [BR Pub 16/04](#) address the situation where the rates are in arrears and the purchaser agrees to pay the outstanding amount.

In [BR Pub 16/01](#) and [BR Pub 16/02](#), the Commissioner considers that apportionments of rates are a part of the consideration for the seller's supply of land. Accordingly:

- # a GST-registered vendor must charge GST — if the supply of land is subject to GST — on the consideration including the portion of rates payable by the purchaser, and

- # a GST-registered purchaser who is entitled to an input tax deduction for the supply of the land can also claim an input tax deduction on the portion of rates payable to the vendor.

Where the rates are in arrears and there is a credit in the settlement statement against the purchase price, the Commissioner states in [BR Pub 16/03](#) and [BR Pub 16/04](#) that the consideration received by the vendor is the amount received (being the purchase price less the credit for the outstanding rates that the purchaser has agreed to discharge), together with the amount of the outstanding rates. Therefore, the vendor must return GST on the actual amount received plus the outstanding rates. Similarly, a GST-registered purchaser can claim GST on the total amount of consideration, being the amount paid to the vendor and the amount of the rates paid.

The rulings apply indefinitely from 24 September 2015 and are a reissue of the previous rulings [BR Pub 10/10](#) to [BR Pub 10/13](#).

For a discussion on the GST implications of a financial contribution under the Resource Management Act 1991 or a development contribution under the Local Government Act 2002, see [¶32-668](#).

Law: GST s [5\(7\)](#)

Last reviewed on 31 December 2025